



NCBA Bank Limited

KRA Agency Notices Process
RPA Process Design Document
VERSION: 1.0.0

1 Document review and approval

1.1 Revision history

Version	Author	Date	Department	Role	Comments
1.0.0	Esther Wanjiku		BPM	Process Analyst	AS-IS Process
1.0.0	Allan Kimutai		BPM	Process Architect	TO-BE Process

1.2 Contributors - Process Owners

	Name	Department	Responsibility
1	Christine Mugo	CPC - AMU	Retrieving and processing the KRA agency notices
2	Michael Kamau	CPC - AMU	Supervise the processing of the KRA agency notices
3			

1.3 References

Additional Process Documentation References		
Video Recording of the Process	https://ncbagroupplcmy.sharepoint.com/:v:/g/personal/geodfrey_kirui_ncbagroup_com/EWaf0c_XA9ZGgi7s-IYXiP8B0f92TMDzNCsU1a9uQNYmMA?e=4%3aokz36d&at=9 Insert Link	
List of Supporting Documents	Handling KRA and Court Orders	
Standard Operating Procedure	Handling KRA and Court Orders	
Other Documentation	[Insert link to any other relevant documentation]	

1.4 Document Review and Approval

Name	Role	Signature	Date
Prepared By:			
Esther Wanjiku	Business Process Analyst		
Allan Kimutai	Business Process Architect		
Reviewed By:			
Rachael Kamau	Lead, Business Process Management		
Lillian Muchiri	Lead, Business Process Architecture		
Salesa Ali	Lead, Robotic Process Automation		
Approved By:			
Patrick Muchoki	Head Business Process Management		
Michael Kamau	Senior Manager, AMU Maintenance		
Jacqueline Muriu	Head, Central Processing Center (CPC)		

2 Contents

1	DOCUMENT REVIEW AND APPROVAL	1
1.1	REVISION HISTORY	1
1.2	CONTRIBUTORS - PROCESS OWNERS	1
1.3	REFERENCES.....	1
1.4	DOCUMENT REVIEW AND APPROVAL	2
3	ABBREVIATIONS.....	4
4	INTRODUCTION.....	4
4.1	PURPOSE OF THE DOCUMENT	4
4.2	OBJECTIVES	5
4.3	PROCESS KEY CONTACT.....	5
4.4	MINIMUM PRE-REQUISITES FOR RPA AUTOMATION	6
4.5	APPLICATIONS USED IN THE PROCESS	6
5	PROCESS GENERAL OVERVIEW	7
5.1	PROCESS PURPOSE	7
5.2	VALUE CASE.....	9
5.3	PROCESS SCOPE	10
6	AS-IS PROCESS OVERVIEW.....	10
7	TO-BE PROCESS OVERVIEW.....	13
7.1	PROCESS DIAGRAM	13
7.2	TO-BE PROCESS STEPS	15
7.3	INPUT AND OUTPUT DATA	19
8	BUSINESS EXCEPTIONS HANDLING (INCLUDE EXCEPTION TABLE).....	19
9	REPORTING REQUIREMENTS.....	20

3 Abbreviations

Abbreviation	Description
AMU	Account Maintenance Unit
KRA	Kenya Revenue Authority
RM	Relationship Manager
T24	Core banking system
TAT	Turnaround time
OCR	Optical Character Recognition

4 Introduction

4.1 Purpose of the document

The Process Definition Document outlines the business process chosen for automation using Robotic Process Automation (RPA) technology.

The document describes the sequence of steps performed as part of the business process, the conditions and rules of the process prior to automation and how they are envisioned to work after automating it, partly or entirely. This specifications document serves as a base for developers, providing them with the details required for applying robotic automation to the selected business process.

4.2 Objectives

The business objectives and benefits expected by the Business Process Owner after automation of the selected business process are:

1. **Increased Efficiency:** Automation of the KRA Agency notices will significantly improve efficiency by reducing manual effort of confirming whether the individuals hold accounts or not
2. **Improved TAT:** The automated process will ensure faster identification of NCBA held accounts resulting to prompt action on the accounts and response/feedback to KRA
3. **Scalability:** An automated solution will seamlessly handle high volumes of notices received without compromising efficiency or accuracy.
4. Increased compliance to statutory requirements

4.3 Process key contact

The specifications document includes concise and complete requirements of the business process, and it is built based on the inputs provided by the process Subject Matter Expert (SME)/ Process Owner. The Process Owner is expected to review it and provide signoff for accuracy and completion of the steps, context, impact, and complete set of process exceptions.

Role	Name	Notes
Process SME	Christine Mugo	Manager, Document Management
Process Reviewer	Rachel Kamau	Lead, Business Process Management
Process Owner/ Approver for production	Michael Kamau	Senior Manager, Accounts Maintenance

4.4 Minimum Pre-requisites for RPA automation

1. Complete Feasibility Assessment
2. Signed off Process Definition Document and Solution Design Document
3. Data to support development (access to shared folders or data sources)
4. Developer user access and accounts to be used for development
5. Bot User access and user accounts creations (licenses, permissions, restrictions to create accounts for robots)
6. Other dependencies

4.5 Applications used in the process

List of applications used in the As-is process:

	Application name	Application Version	System Language	Environment	Access Method	Comments
1	CRM		English	Local Desktop	Username	Used to check if customer has NCBA account
2	T24	R18	English	Local Desktop	Username & Password	Used to confirm account balance
3	Pdf		English	Local Desktop	Username	Contains a list of authorized signatories and contact detailed
4	Shared folder	Shared folder	English	Shared folder	User rights	Folder containing all KRA notices

5 Process General Overview

5.1 Process Purpose

In compliance with statutory requirements, the bank acts as an agent that helps KRA collect tax arrears from customers who have not remitted their taxes. A KRA official sends a list of notices of those who have not paid their taxes. Once received AMU officer will confirm whether the individual holds an NCBA account or not on CRM. When determined that the individual holds an NCBA account, the AMU team will either lock the accounts or restrict the account based on the available account balances and the amount owed to KRA. After this has been done the AMU officer will respond to KRA informing them of the action taken. The process of determining whether an individual has an account with NCBA is done manually where the AMU officer logs into CRM and uses the Name and KRA pin number to check if such an account exists. This is a time-consuming process as KRA send multiple notices which contain individuals who may not necessarily be banking with NCBA since the notices are sent to all banks in Kenya.

The change seeks to automate this process whereby a bot will review the notices and give an output file containing a list of notices belonging to NCBA customers and another for the non-customers resulting in a time efficient process.

General information about the process selected for RPA **prior** to automation:

#	Item	Description
1	Department Name	Account Maintenance Unit
2	Process Name	KRA Agency Notices Process
3	Process Area	KRA Notices
4	Process short description (Operation, activity, outcome)	This process involves the handling of KRA notices which are sent on a daily basis to AMU to act on and provide the required feedback to KRA as part of compliance with the regulator. The agency notices require the bank to place restrictions on these accounts and share the balances with the KRA, KRA will carry out their internal processes based on the information provided by the bank and advise the bank on remittance of the funds. Once this has been done, the bank will then provide the feedback to KRA who will then advise on suspension of the cancellation enabling the bank to lift the restrictions placed on the account.

NCBA Bank Kenya Limited
[KRA Agency Notices Process]

5	Role(s) required for performing the process	Manager, Document Management
6	Process schedule	Monday - Friday
7	Process Cycle Frequency	Daily
8	# of items processed per reference period	1177+ per month
9	Average handling time	8hrs.
10	Peak period (s)	No peak periods
11	Item volume During Peak period	N/A
12	Total # of FTEs supporting this activity	1
13	Expected increase of volume in the next reference period	2400 in the next month
14	No. of Exceptions	➤ Agency notices that are sent are addressed to a different bank ➤ Notices signed by signatories who are not in the list of authorized signatories shared by KRA ➤ Notices sent by KRA to NCBA staff personal email
15	Input data	KRA Notices in PDF shared through email List of all accounts opened dump
16	Output data	List of accounts held by NCBA Bank – Proceed to place restrictions on the account List of accounts not held by NCBA Bank – Communicate to KRA that the referenced entity does not hold an account with NCBA Bank

5.2 Value Case

This section highlights the various benefits that will be realized following implementation of the automated process.

#	Item	Baseline (before implementation)	Expected Benefits
1	Faster TAT (Man-Hours Reduction)	8hrs per day	BOT to perform OCR and generate dumps in 30 sec per notice
2	Faster time to market/Improved Efficiency	KRA Agency notices takes the whole day to confirm the accounts held by the bank	Automating these repetitive and manual tasks eliminates the need for human intervention. This reduces the time and effort required to process these KRA notices, allowing AMU officer to focus on more strategic and value-added activities.
3	Improve customer journey	Delayed feedback to KRA on the notices shared	Immediate feedback to the regulator (KRA)
4	Improve data quality	Exceptions have to be identified manually which is time-consuming and tedious.	The automated process will provide better tracking and monitoring of KRA notices. This can help to improve accountability towards the regulator
5	Increase control/transparency	Reduced control and transparency due to the process being manual.	Automation should help improve on controls and transparency through checking for notices that the bank needs to action
6	Improved compliance	The current manual results in delays in compliance with regulatory requirements leading to a higher risk of penalties due to non-compliance	Automation should help ensure compliance with regulatory requirements, which are auditable as well as reduce the risk of non-compliance to regulatory requirements

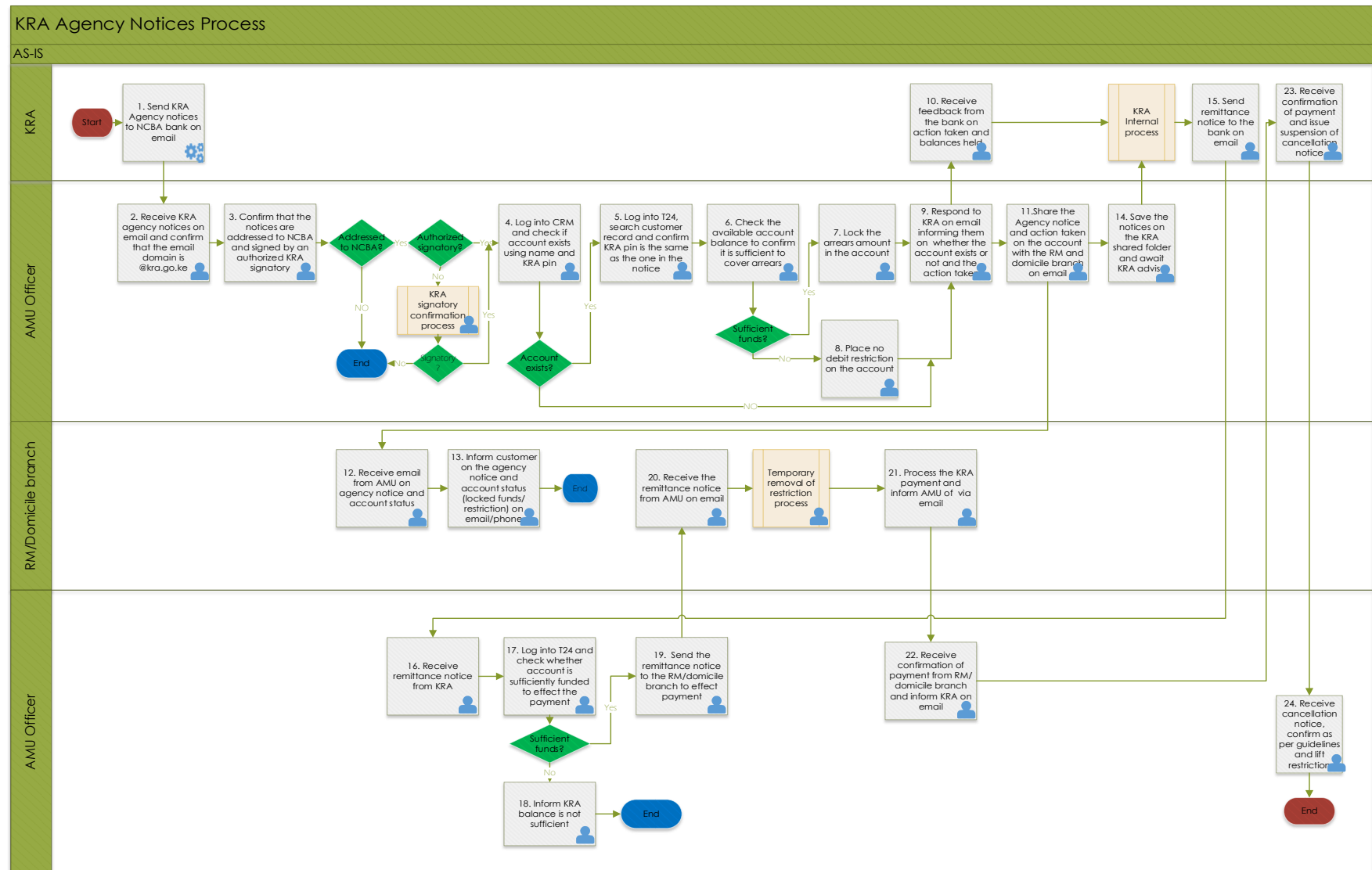
5.3 Process Scope

In/out of scope	Scope description
In scope	1. Extraction of the KRA Pin, the recipient i.e. NCBA Bank, and the signatory mentioned in the notice from the attached KRA Notice PDF 2. Validation checks to confirm that: ○ The name of the bank the letter is addressed to is NCBA ○ The person that has signed the notice is in the list of authorized signatories shared by KRA to the bank ○ The type of notice is KRA Agency Notice 3. Check if the individual holds an account with NCBA and retrieve customer base number. 4. Dump all pdf notices into respective sub folders in the KRA shared folder as below: ○ Notices not addressed to NCBA - Not addressed to NCBA folder ○ Notices signed by unauthorised signatories - Not signed by authorised signatories' folder ○ Notices with no accounts found - without accounts folder ○ Notices with Accounts found – with accounts folder 5. Send an email containing a link to the shared folder where all notices have been dumped to the AMU officer.
Out of Scope	1. Providing any account information or communication to KRA directly. 2. Extraction of the updated list of all accounts opened report from T24 3. Logging into T24 to place or remove account restrictions 4. Communication to the Domicile branch and RMs 5. Processing any payments related to the account 6. Processing KRA notices sent by KRA to NCBA staff personal emails

6 AS-IS Process Overview

This section depicts the As-Is business process in detail to enable the developer to build the automated process.

NCBA Bank Kenya Limited
[KRA Agency Notices Process]



NCBA Bank Kenya Limited
[KRA Agency Notices Process]

The table below provides a short description of the process steps presented in the As-Is Process Map:

	Description of key process steps	Average TAT
1	On a daily basis, AMU will receive KRA Agency notices containing individuals who have tax arrears. The list will be sent through email to the document management unit group email or NCBA staff individual emails and the senders email domain name must be @kra.go.ke .	
2	The KRA notice is attached on the email, and it contains; the individual's name, KRA Pin number, amount owed and must be signed by a KRA authorized signatory	
3	Once they receive the notices, which contains the individual's name and KRA Pin number, they will confirm the below: • The name of the bank the letter is addressed to is NCBA • The person that has signed the notice is in the list of authorized signatories shared by KRA to the bank	
4	The AMU officer will then log into CRM and using the individual's name or KRA Pin, check if the individual holds an account with NCBA. If account does not exist, CRM will not provide a search result and if the account exists, CRM will provide a record of the customer which contains a base number	
5	For the accounts that exist the AMU officer will log into T24, using the customer number search for the customer record and confirm the KRA pin is the same as the one captured in the notice. A debit restriction will then be placed on the account if the account balance is below the amount owed to KRA or lock funds if the account balance is more than the amount owed to KRA.	
6	A response will then be sent to KRA via email informing them that the account exists, restriction has been placed and the account balance held	
7	Send email to the RM and domicile branch informing them of the Agency notice and the action taken i.e., locking funds or placing no debit restriction	

NCBA Bank Kenya Limited
[KRA Agency Notices Process]

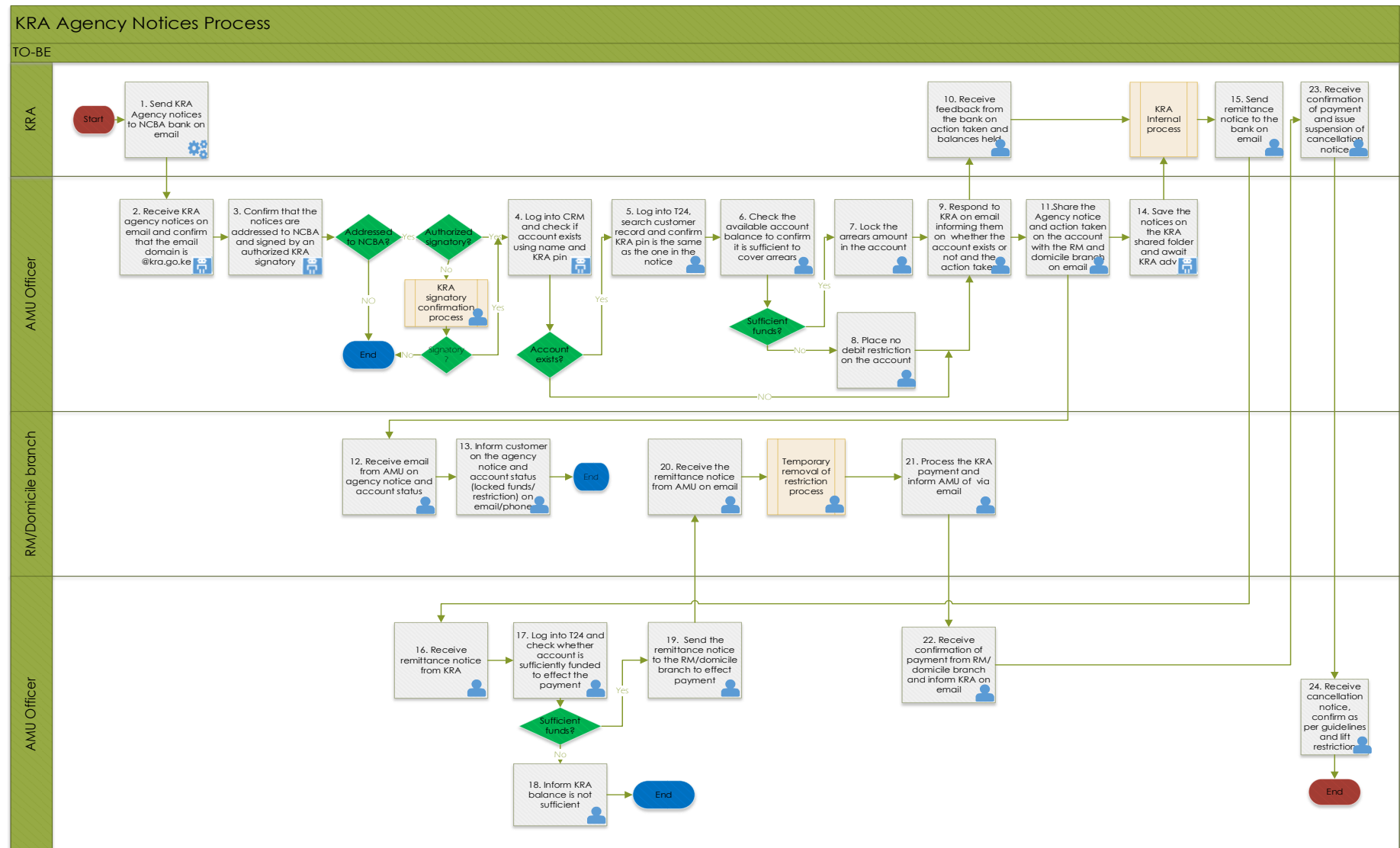
8	For the accounts that do not exist, an email will be sent to KRA informing them that the individual does not hold an account with NCBA	
9	Once the account status of the individuals has been checked, the notices will be saved in a shared folder called KRA with separate folders for notices with accounts and notices with no accounts for future reference	
10	KRA will then send a remittance (letter referencing the agency notice which instructs the bank to remit a specific amount of funds to KRA) and the payment slip for the payment	
11	The official will log into T24 and confirm the account balance to check whether it will cover the payment. In case the balance cannot cater for the whole amount, they inform KRA that they cannot pay the whole specified amount or cannot pay at all due to the account balance constraints	
12	Once confirmed that the account balance is sufficient, AMU will send the remittance to the domicile branch for them to effect the payment	
13	Once the payment has been made, KRA will issue a suspension of cancellation notice which is to inform the bank that the agency notice has been lifted. The cancellation can be received through the below channels: • Customer delivers the notice to the branch • Notice presented to the RM • KRA send the notice via email	
14	The AMU officer will then confirm the validity of the cancellation notice through callback on phone or email with the person who signed the notice	
15	Once confirmation is obtained, log into T24 and lift the restriction	

7 TO-BE Process Overview

7.1 Process Diagram

This section depicts the To-Be business process in detail to enable the developer to build the automated process.

NCBA Bank Kenya Limited
[KRA Agency Notices Process]



Below is a legend of the process steps and symbols presented in the TO-BE Diagram above:

Legend	
	Step number in the process. Referred in the details or Exceptions and Errors table
	This process step is proposed for automation
	This process step remains manual (to be performed by human agent)
	Change/ Improvement opportunity
	Area or Branch Already Automated

7.2 TO-BE Process Steps

The table below provides a short description of the process steps presented in the TO-BE Process Map:

	Steps	Description of key process steps
1	IT dumps a List of all accounts opened report	IT ensures that the updated list of all accounts opened report is dropped from T24 to a shared folder daily after COB.
2	Receiving KRA Agency Notices with Tax Arrears	On a daily basis, AMU will receive KRA Agency notices containing individuals who have tax arrears. The list will be sent through email to the document management unit group email. The senders email domain name must be kra.go.ke . The bot will be configured to listen to the document management unit group email i.e. Document.Management@ncbagroup.com
3	Contents of KRA Notice: Individual Details and Amount Owed	The KRA notice is attached on the email, and it contains; the individual's name, KRA Pin number, amount owed and must be signed by a KRA authorized signatory
4	Extraction of the KRA Notices PDF contents	The bot will perform an OCR on the attached PDF to extract the KRA Pin , the recipient name i.e. NCBA Bank , the signatory mentioned in the notice, the contents of the first paragraph i.e. "In the exercise

		of powers conferred upon me by section 42 of the Tax Procedures Act, 2015, I hereby declare you to be an agent of the above taxpayer and require you to pay me the sum of..." and contents of the last paragraph of the notice i.e. "Please note that in case of partial payment, this notice shall remain in force until the amount specified herein is fully recovered. Subsection 13 of section 42 provides that, if without reasonable cause you fail to comply with this notice you shall be personally liable for the amount specified herein"
5	Validations	Using recipient name i.e. NCBA Bank, and the signatory extracted in step #3, the bot will run a validation check to confirm that: • The name of the bank the letter is addressed to is NCBA Bank • The person that has signed the notice is in the list of authorized signatories shared by KRA to the bank. The bot will scan through an Excel file saved in the KRA shared folder which contains the names of authorized KRA signatories, with the purpose of verifying whether the signatory mentioned in the notice is authorized. • The contents of the first paragraph are "In the exercise of powers conferred upon me by section 42 of the Tax Procedures Act, 2015, I hereby declare you to be an agent of the above taxpayer and require you to pay me the sum of..." and the contents of the last paragraph are "Please note that in case of partial payment, this notice shall remain in force until the amount specified herein is fully recovered. Subsection 13 of section 42 provides that, if without reasonable cause you fail to comply with this notice you shall be personally liable for the amount specified herein."
6	Notices not meeting the three validation checks above: Dump the notices	The bot will return and dump all pdf notices that are not addressed to NCBA bank and notices signed by unauthorized signatories into separate sub folders in the KRA shared folder.
7	Checking if the Account Exists in CRM	The bot picks the list of all accounts opened dumped in step #1 and using the KRA Pin extracted in step #4, the bot will check if the individual holds an account with NCBA and retrieve customer base number.
8	No Account Found: Dump the notices	Where the bank does not have account associated with the provided KRA pin reference, the bot will return and dump all pdf notices in a shared folder called KRA without accounts for future reference

NCBA Bank Kenya Limited
[KRA Agency Notices Process]

9	Account Found: Dump the notices and an excel file	Where the bank has an account associated with the provided KRA pin references, the bot will return and dump all pdf notices and an excel containing the KRA Pin and the customer base number retrieved in step #7 in a shared folder called KRA with accounts for further processing and future reference
10	Send an email to the AMU Officer	The bot will send an email containing a link to the shared folder where all notices have been dumped to the AMU officer. Please see the proposed email template below: Dear Colleague, I have successfully completed processing the KRA Agency Notices for you. You can access the categorized files: • Notices not addressed to NCBA - Not addressed to NCBA • Notices signed by unauthorised signatories - Not signed by authorised signatories • Notices with no accounts found - without accounts • Notices with Accounts found – with accounts • Excel - List of all found accounts with their corresponding KRA Pin Regards, RPA Bot
11	Verifying KRA PIN in T24 for Existing Accounts and placing Debit Restriction or Locking Funds	Using the link shared on email by the bot to access the excel with customer base number for the accounts that exist, the AMU officer will log into T24 and search for the customer record and confirm the KRA pin is the same as the one captured in the notice. AMU officer then proceeds to place a debit restriction on the account if the account balance is below the amount owed to KRA or lock funds if the account balance is more than the amount owed to KRA.
12	Account Found: Inform KRA	An AMU officer will then respond to KRA via email informing them that the account exists, restriction has been placed and the account balance held

NCBA Bank Kenya Limited
[KRA Agency Notices Process]

13	Notifying RM and Domicile Branch about Agency Notice	An AMU officer sends an email to the RM and domicile branch informing them of the Agency notice and the action taken i.e., locking funds or placing no debit restriction
13	No Account Found: Inform KRA	Using the notices dumped by the bot in step #8 for the accounts that do not exist, an AMU officer will send an email to KRA informing them that the individual does not hold an account with NCBA
15	Remittance notice from KRA	KRA will then send a remittance (letter referencing the agency notice which instructs the bank to remit a specific amount of funds to KRA) and the payment slip for the payment
		The official will log into T24 and confirm the account balance to check whether it will cover the payment. In case the balance cannot cater for the whole amount, they inform KRA that they cannot pay the whole specified amount or cannot pay at all due to the account balance constraints
16	Sending Remittance for Payment	Once confirmed that the account balance is sufficient, AMU will send the remittance to the domicile branch for them to effect the payment
17	Suspension of Cancellation Notice from KRA	Once the payment has been made, KRA will issue a suspension of cancellation notice which is to inform the bank that the agency notice has been lifted. The cancellation can be received through the below channels: • Customer delivers the notice to the branch • Notice presented to the RM KRA send the notice via email
18	Validating Cancellation Notice	The AMU officer will then confirm the validity of the cancellation notice through callback on phone or email with the person who signed the notice
19	Lifting Restriction in T24 after Confirmation	Once confirmation is obtained, an AMU officer logs into T24 and lifts the restriction

7.3 Input and output data

Input/ Output	Data name	System	Data validation (Y/N)
Input	KRA Notices in PDF shared through email	Outlook	Yes
Input	List of all accounts opened dump	Excel	Yes
Output	Notices not addressed to NCBA bank	PDF – Shared Folder	Yes
Output	Notices signed by unauthorized signatories	PDF – Shared Folder	Yes
Output	Notices with no accounts found	PDF – Shared Folder	Yes
Output	Notices with accounts found	PDF – Shared Folder	Yes
Output	List of KRA Pin and Customer Base Number for notices with accounts found	Excel	Yes

8 Business Exceptions Handling (Include Exception Table)

Document how the bot will handle the exceptions noted in section 5

Exception ID	Exception Name	Step	Parameters	Action to be executed
01	Not addressed to NCBA	Step #3	If the notice is not addressed to NCBA bank	Dump the pdf in a shared folder called KRA in a subfolder called 'Not addressed to NCBA'
02	Not signed by authorised signatories	Step #3	If the notice is not signed by authorised signatory	Dump the pdf in a shared folder called KRA in a subfolder called 'Not signed by authorised signatories'
03	No accounts found	Step #4	If the bank does not have account associated with the provided KRA pin reference	Dump the pdf in a shared folder called KRA in a subfolder called 'without accounts'
04	Accounts found	Step #4	If the bank has an account associated with the provided KRA pin references	Dump the pdf in a shared folder called KRA in a subfolder called 'with accounts'

Reporting Requirements

#	Report type	Update frequency	Details	Monitoring Tool to visualize the data
1	Process logs	Daily	How many times was this process run since the beginning of the month and what was the average run duration?	Power Automate
2	Process logs	Monthly	How many robots worked on this process per month?	Power Automate
3	Transaction logs	Daily	How many transactions were run by this process since the beginning of the month and what was the average transaction duration?	Power Automate
4	Error logs	Daily	Average number of errors by type per day	Power Automate
5	Error logs	Daily	All errors per month grouped by type	Power Automate



Document Approval Audit Trail

Document Name : PDD - KRA Agency Notice

Requester Name : Allan Kimutai

Requester Number : GDA230629120331

Date Requested : 6/29/2023 12:11 PM

Approver Name	Decision	Approval Date	Comments
Lillian N. Muchiri	Approve	6/30/2023 3:48 PM	ok to proceed. please see comments on the document
Rachel Kamau	Approve	7/4/2023 11:28 AM	Approved
Patrick Muchoki	Approve	7/4/2023 4:22 PM	Approved Do we have OCR capability on PA?
Michael Kamau	Approve	7/10/2023 9:12 AM	APPROVED
Salesa Ali	Approve	7/10/2023 9:27 AM	Approved
Jacqueline Muriu	Approve	7/10/2023 2:04 PM	Approved
James Kamau	Approve	7/10/2023 3:21 PM	Approved.
Patrick Muchoki	Approve	7/10/2023 3:22 PM	Approved